

takes longer than you think too. Remember that every month your property
.is being worked on, you are losing rent

Four lettable rooms minimum

I have thought about doing 3-bed HMOs, but quickly changed my mind after crunching the numbers. The first two rooms in the house typically will pay the bills, mortgage payments and management costs. Anything after
.that is your profit

If you have only three lettable rooms, your profit will not be much. Five rooms is very good, but bear in mind you will need two bathrooms and possibly a license. Four tends to be the sweet spot in my opinion and all the
.rooms should be a minimum of around 70 square feet

Power team

Make sure that wherever you buy, you have a good network in the area. Sometimes people say they will only buy in their area so they can do everything themselves. This is a terrible plan because you will end up with
.a rope around your neck rather than financial freedom

In order for this to be systemised and run smoothly make sure you have, above all, a good letting agent in the area in which you're buying. Never get a normal letting agent to manage an HMO or you will end up managing the letting agent just as much as you would have to manage the tenants. Instead, find a trusted supplier that specialises in managing HMOs. I learned this the
!hard way

Price

Do not spend more than £25,000 per lettable room. If the house is a 4-Bed HMO you should expect to pay around £100,000 and no more. For a 5-bed,
.then £125,000

.This of course, is a rough guide

For example, if the house was a palace and you knew you'd get a much higher rent than £1,400 then that may be an exception. It is crucial to know